Pre-tax Margin

The pre-tax margin indicates the rate of profit earned on sales after accounting for the cost of financing but before tax. In short, this is calculated on the income before tax and expressed as a percentage of sales.

$$\text{Pre-tax margin} = \frac{\text{Pre-tax income}}{\text{Sales}} \times 100$$

Illustration

Kumar Wheels Ltd

	Rs. (lakh)
Sales	8,000
Earning before tax	700

$$\text{Pre-tax margin would be } \frac{700}{8{,}000} \times 100 = 8.75\ \%$$

As mentioned earlier, non-recurring income or expense should not be included in the calculation as it would distort comparisons. If the Rs. 50 lakh of non-recurring income is omitted, the margin would reduce to 8.125% as follows:

$$\frac{700 - 50}{8{,}000} \times 100 = 8.125\ \%$$

Pre-tax margin is not a fair measure of profitability and comparison as the manner of funding, i.e. the financing costs, vary from company to company. It can however be used effectively for comparing the performance of a company over several years.